

Lucky & Co's income statement shows a loss of ₹ 3,000. The owner thinks that there is no need to provide for depreciation as the company has made a loss. He also suggests his accountant to change the method of depreciation for the next year so as to avoid the loss. But, the accountant is hesitant to make the necessary changes suggested by his owner.

Now, discuss on the following points:

- Do you agree on the point that there is no need to charge depreciation when the company has made a loss?
- Why does the accountant hesitate to make the changes suggested by his owner?
- What are the accounting principles not followed if the accountant agrees to his owner's suggestion?
- Do you think charging depreciation could be the only reason for the company's loss?

To explore further

Is it possible to exchange the old fixed asset with a new one? In such a case, what do you think will be the adjustment in terms of payment and accounting treatment?

Reference

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